BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
AT NEW DELHI

Present: SMT. INA MALHOTRA, MEMBER (JUDICIAL)

&SH. V.K SUBBORAJ MEMBER (TECHNICAL)

CAA- 11/ND/2018

IN THE MATTER OF:

SDRM Infotech Private Limited (SDRM)

Applicant No.1/Transferor Company

AND

Damanisons Bullion Private Limited (DBPL)

Applicant No. 2/ Transferee Company

CORAM: Ms. INA MALHOTRA, MEMBER (JUDICIAL)

Dr. V. K SUBBORAJ, MEMBER (TECHNICAL)

ORDER DELIVERED ON – 03.01.2019

O R D E R

PER SMT. INA MALHOTRA, MEMBER (J)

1. This Joint application has been filed by the Applicant Companies under sections 230 and 232 of the Companies Act, 2013 read with the Company (Compromises, Arrangements and Amalgamations) Rules,

2016 and the National Company Law Tribunal Rules, 2016, for the purpose of approving the Scheme of Amalgamation, as contemplated between the Transferor Companies with Transferee Company.

2. Both the Transferor Company as well as Transferee Company have their registered offices at New Delhi which lie within the jurisdiction of this Tribunal.

3. A perusal of the petition discloses that Transferor Company (Applicant No.1) and Transferee Company (Applicant No.2) had jointly filed the first motion application bearing C.A. No. (CAA) 148/ND/2017. The Tribunal vide its order dated 22.12.2017 had dispensed with the meetings of the equity shareholders of the applicant Companies. Both the Transferor and the Transferee Companies did not have any Secured or Unsecured creditors as certified by their Chartered Accountants.

The Scheme was duly approved by the Board of Directors of the two companies in their respective meetings held on 04.09.2017. Consent of the Shareholders was filed by way of affidavits.

4. The applicant companies have now initiated the Second Motion. An affidavit dated 27.03.2018 discloses that the petitioners have effected publication in the daily newspapers "The Business Standard" in English and Hindi respectively, both dated 13.03.2018, having

circulation in Delhi. The affidavit further discloses that due notice of the proposed scheme had been served on the Registrar of Companies, Regional Director, Northern Region, Income Tax Dept. and the Official Liquidator in compliance with the order of the Tribunal, inviting objections if any to the proposed Scheme of Amalgamation.

Pursuant to the Publication in the daily newspapers, for listing of the matter before this Bench, no objector has appeared before us.

Additionally, the petitioners have also filed an affidavit before this tribunal that neither the petitioner companies, nor their Legal Counsels have received any objection/representation against the proposed scheme for Amalgamation till the date of the affidavit. The replies of the Regional Director, NR, MCA dated 16.04.2018 and the Report of Official Liquidator dated 19.12.2018 have been placed before us.

5. The Regional Director (**RD**") filed its representation with National Company Law Tribunal, New Delhi. The Regional Director has raised certain observations in his affidavit which have been replied as under:

(a) Ld. RD in para 32 of RD Report has submitted that Transferor Company is a private company incorporated on 22.02.2007 since has not done any significant business activity and made frequent allotments individuals as well as body corporates including companies from West Bengal as under:

Date of Allotment	No. of Shares allotted	Premium charged @ Rs.	Total amount Including Premium Collected (Rs)
31.03.2007	9,500	190	19 Lacs
31.03.2008	14,800	490	74 Lacs
31.03.2009	6,500	1990	1 Crore 30 Lacs
31.03.2010	1,700	9990	1 Crore 70 Lacs
31.03.2012	170	9990	17 Lacs
31.03.2015	4,500	990	45 Lacs

b.) It is submitted that the corresponding balance sheets filed by the Transferor Company from time to time on MCA-21 Portal that after receipt of purported funds from the above parties on same date, it was reinvested by purchasing shares at premium of some other companies or advanced to some individuals.

c.) Also, the Balance Sheets of the Transferor Company were audited by M/s A. Chandok & Company, CA as statutory auditors;

d.) Further, it is submitted that the purported investors are same as of the address of the said auditor firm. Moreso, one of the investors is BLSB Financial Services Private Limited and the address of the said company is also shown as 111, Darya Ganj, New Delhi and the residential address of the one of the director of the company is address of registered office of the Transferor Company.

e.) Furthermore, it reveals from the Annual return for the Financial year ended 31.03.2006 that most of these parties have transferred their shareholding to Damani Family Trust on 01.08.2015, However, as per

such Annual Return (MGT-7), no Board Meeting was held on 01.08.2015, hence it could not be ascertained as to how such shares have transferred to said Damani Family Trust.

In response to the aforesaid observation, the Petitioner Company-I (Transferor Company) have replied in their response as follows:

a.) *It is submitted that the company was incorporated in 2007 and capital infusion from time to time was made in due compliance of law. Also, the company was filing Income Tax Returns as per due dates from time to time and having received regular assessment orders. The Return of Allotments were filed well within time and approved by the office of ROC itself without any observations. The observation made is irrelevant and bad in law and do not have nay locus-standi after three years of filling of the last form after approval from his own office. It is also pertinent to note that the form for Return of Allotment filed with the office of ROC was not in STP mode and were taken on record after approval from his office.*

b.) *Further In respect to the observation made in point (d) of the observations , the investment and funding in private limited company is always from the close circle and through private placement. Having common address of one building which has several offices can't be treated as any non-compliance.*

c.) *Further In respect to the observation made in point (e) of the observations, the transferee company was planning to merge with the company hence certain shareholding were transferred in compliance of law. Date of registration of transfer may be a different date from the date of the board meeting. It is nowhere mentioned in the Companies Act that the date of Board Meeting can only be the date of transfer. It is contended that office of the ROC has failed to refer any non-compliance on the part of the company.*

6. With the aforesaid reply, nothing further was agitated by the office of the Regional Director that would show any illegality or being against public

policy for the purpose of rejecting the scheme. The observation are by way of questioning the investments received by the Transferor Company which appear to have been invested in purchase of other companies and that most of these shares have been transferred to the Damani Family Trust. However, it is not disputed that the returns of the Income Tax of the Transferor Company have been regularly filed and no objection or irregularity has been observed by them.

7. The Income Tax Department filed its representation dated 25.09.2018 with National Company Law Tribunal, New Delhi stating that they have no objection to the sanction of the proposed scheme. The tax liability, if any, shall devolve upon the Transferee Company.

   As per OL, it is submitted that on the basis of information submitted by the Petitioner companies is of the view that the affairs of the aforesaid Transferor Company do not appear to have been conducted in the manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956.

8. The Audited Balance Sheet upto 31.03.2017 have been filed by both the applicant companies. As per the report of the statutory auditors, the Accounting Standards have been adhered in compliance of Section 133 of the Act and certificates to that extent are on record.

   The Scheme has proposed the Appointed date as 1st April, 2018.

As per Clause 14 of the Scheme and Share Valuation Report submitted by M/s A Chandak and Co., Chartered Accountant, the consideration of the scheme is as follows:

1.1 On the Scheme becoming effective, the shareholders of the SDRM (Transferor Company) become the shareholders of DBPL (Transferee Company). The Transferee Company shall allot shares to the transferor company according to valuation of their shares and accordingly, the exchange ratio shall be 1:1 Cross holding, if any, shall be cancelled.

1.2 After giving effect to Clause 14.1 of the scheme and pursuant to the scheme coming into effect, the entire business and the whole of the undertaking of the Transferor Company shall get transferred to and vested in the Transferee Company.

9. The scheme of Amalgamation as contended by the Petitioners is sought to be justified on grounds that being family owned companies, it would:-

a.) Result in business synergy and consolidation of these Companies into one large Company with a stronger asset base

b.) Enable pooling of physical, financial and human resource of these Companies for the most beneficial utilization of these factors in the combined entity.

c.) Result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of human and other resource and enhancement of overall business efficiency.

d.) Strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business.

e.) Enhance the shareholders value of the Transferor Company and the Transferee Company.

f.) On the Scheme becoming effective, the shareholders of the SDRM (Transferor Company) become the shareholders of DBPL (Transferee Company). The Transferee Company shall allot shares to the shareholders of Transferor Company according to valuation of their shares and accordingly the exchange ratio shall b e 1:1 Cross holding, if any, shall be cancelled

g.) Would have beneficial impact on the Transferor Company and the Transferee Company, their shareholders, employees and other stake holders and all concerned.

10. In view of the foregoing, upon considering the approval accorded by the members and creditors of all companies to the proposed Scheme, and observations of the RD, being satisfactorily answered, there appears to be no impediment in granting sanction to the Scheme. Consequently, sanction is hereby granted to the Scheme under sections 230-232 of the Companies Act, 2013. The sanctioned Scheme of arrangement shall be binding on the Transferor and the Transferee Companies and on all their respective shareholders and creditors. The Petitioners shall also be bound to comply with the statutory requirements in accordance with.

11. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of both the petitioner companies.

12. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

13. This tribunal doth further order that upon scheme of Amalgamation by way of Merger coming into effect;

(i) That Transferor Company shall stand dissolved without being wound up.

(ii) That the entire business, properties and assets of the Transferor company, be transferred without further act or deed to the Transferee company and accordingly the same shall, pursuant to section 232 of the Act, be transferred to and vest in the Transferee company, but subject nevertheless to all charges now affecting the same;

(iii) That all the liabilities and duties of the Transferor company, be transferred without further act or deed to the Transferee company

and accordingly the same shall pursuant to section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee company;

(iv) That all proceedings now pending by or against the transferor company, be continued by or against the transferee company;

(v) That petitioners shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the transferor company shall be dissolved and the Registrar of Companies shall place all documents relating to the transferor company and registered with them and shall consolidate the files of the two companies accordingly duly approved and sanctioned in terms of the above.

(vi) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(vii) Transferee company is directed to pay **Rs. 1 Lakh** to the Prime Minister's Relief Fund, the payment of which shall be ascertained by the RoC prior to further steps.

-Sd-

(V.K Subburaj)
Member Technical

-Sd-

(Ina Malhotra)
Member Judicial